EXECUTIVE SUMMARY

1. Introduction

The Municipality of Langgangan, now Sta. Praxedes, Cagayan was formally established when it became a township of Cagayan Valley by virtue of Executive Order No. 65 of Governor Leonard Wood on November 11, 1922. It was renamed Sta. Praxedes in 1977 by virtue of Republic Act No. 1449. It consists of ten (10) barangays with a total land area of 110 sq. km. It is classified as a fifth class municipality.

The audit covered the accounts and operations of the Municipality of Sta. Praxedes for the year 2020 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards (IPSASs), whether prevailing laws, rules and regulations have been complied with and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

2. Highlights of Financial Information

The table below shows that the Municipality's Assets, Liabilities and Government Equity as of December 31, 2020, were P246,869,411.32, P30,159,670.86 and P216,709,740.46, with an increase of 111.32%, 13.95% and 139.84% respectively from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P73,215,053.46 and P58,188,869.14, which increased by 20.02% and decreased by 0.11% respectively from last year's figures.

Particulars	2020	2020	Increase(Decrease)	
			Amount	%
Financial Position				
Assets	246,869,411.32	116,822,544.28	130,046,867.04	111.32%
Liabilities	30,159,670.86	26,466,498.89	3,693,171.97	13.95%
Government Equity	216,709,740.46	90,356,045.39	126,353,695.07	139.84%
Financial Performance				
Income	73,215,053.46	61,004,816.07	12,210,237.39	20.02%
Expense	58,188,869.14	58,254,829.53	(65,960.39)	(0.11)%
Appropriations, Allotments and Obligation				
Appropriations	84,006,187.85	70,783,693.48	13,222,494.37	18.68%
Allotments	84,006,187.85	70,783,693.48	13,222,494.37	18.68%
Obligations	65,447,901.58	53,702,880.73	11,745,020.85	21.87%

3. Independent Auditor's Report on the Financial Statements

We rendered a Qualified Opinion on the fairness of the financial statements due to failure of Management to undertake the one-time cleansing of Property, Plant and Equipment (PPE) account pursuant to COA Circular 2020-006 dated January 31, 2020, and non-conduct of physical inventory count of PPE, thus, the accuracy of the "PPE" account in the financial statements amounting to P189,471,871.04 cannot be verified.

4. Summary of Audit Observations and Recommendations

a. Procurements of various supplies, drugs and medicines related to COVID 19 response amounting to P3,643,739.54 were recognized as outright expenses instead of recording in the appropriate inventory accounts contrary to pertinent provisions of Government Accounting Manual for Local Government Units, hence safeguards thereon were not adequately undertaken.

We recommended, pursuant to Sections 182, 187 and 189 Volume 1 of the Government Accounting Manual for LGUs to set up the proper safeguards on various supplies, drugs and medicines that:

i. The General Services Officer maintain stock cards for inventories received, issue Requisition and Issue Slip for the issuance of inventories and prepare and submit to the Municipal Accountant the required Report of Materials and Supplies Issued five days after the end of the month.

ii. The Municipal Accountant maintain Supplies Ledger Card for each specific type of Inventories.

iii. The Municipal Mayor require periodic physical inventory of supplies and materials. The physical count of unissued inventory items by type shall be conducted at least once a year and reported in the Report of the Physical Count of Inventories (RPCI).

b. Information on the emergency procurement of goods and infrastructure projects amounting to P5,314,753.75 to avert the adverse effects of the COVID 19 pandemic were not posted by the Municipality in the GPPB online portal contrary to the provisions of the Government Procurement Policy Board (GPPB) Circular No. 01-2020 dated April 6, 2020 which provides the Guidelines for Emergency Procurement mandated under Republic Act No. 11469, or the Bayanihan to Heal as One Act (Bayanihan Act), hence not compliant with the reportorial requirement of the law.

We recommended management to post all the required information in the GPPB Online Portal relating to emergency procurement and comply with all other requirements to ensure transparency and accountability in the implementation of the Bayanihan Act in government procurement.

5. Summary of Total Suspensions, Disallowances and Charges

Settlement of Suspensions and Disallowances is shown on table below:

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	**-**	
Disallowances					
Prior Years	1,154.00	-	1,154.00	1,154.00	100%
Current Year	-	-	-	-	
Total	**1,154.00**	**-**	**1,154.00**	**1,154.00**	**100%**
Charges					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	-	

6. Status of Implementation of Prior Year's Audit Recommendations

Out of the nine (9) audit recommendations in the prior year's report, six (6) were fully implemented, one (1) was partially implemented, and two (2) were not implemented as of the year ended.